CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



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FEMA

Q1. On 10th May, 2024, Budang Pest GmbH (BPG), a German pesticides company, invested Euro 1.5 million (equivalent INR 14.3 crore) in the equity shares of ABC Pesticides Pvt. Ltd. (ABC), an Indian pesticides manufacturer based in Raipur. The shares were issued on 15th May, 2024 under the automatic route and ABC received the funds directly into its designated FDI bank account. However, due to an oversight, ABC failed to file the Form FC-GPR with the RBI within the stipulated time. The delay was noticed during their internal audit in August, 2024. By then, more than 60 days had passed since the share allotment.

Further, it was later discovered that ABC had not updated its Entity Master Form on the RBI FIRMS portal since 2022, even though the company had received FDI in the past as well.

Based on the above information, you are required to:

(I) Explain the compliance requirements under FEMÄ in relation to

(i) form FC-GPR filing timeline and procedure.

(ii) maintaining and updating the Entity Master on the FIRMS portal.

(II) Discuss the possible consequences of non-compliance in this case and suggest remedial steps that ABC should take as on August, 2024.

(June 2025 7 Marks)

Ans. (I) Compliance Requirements under FEMA:

(i) Form FC-GPR Filing Timeline and Procedure:

As per FEMA regulations, when a company receives FDI through equity instruments, it must file Form FC-GPR within 30 days of share allotment. In this case, shares were allotted on 15th May, 2024, so the due date was 14th June 2024. The Form must be filed online via the RBI's FIRMS portal, along with requisite documents such as FIRC, KYC, valuation certificate, Board resolution, etc.

(ii) Entity Master Maintenance:

CS Disha Lohana

Every Indian company receiving FDI is required to create and maintain an Entity Master on the FIRMS portal. It must be updated regularly to reflect current foreign holdings. Failure to update the Entity Master is treated as non-compliance under FEMA and may block the ability to file any forms related to FDI.

(II) Consequences and Remedial Steps: Consequences of Non-Compliance:

(i) Delay in FC-GPR filing beyond 30 days attracts penalty under Section 13 of FEMA, which may include a monetary penalty up to thrice the sum involved.

(ii) Inability to file further FDI-related forms due to a non-updated Entity Master.

(iii) Regulatory risk and potential scrutiny from RBI.

Remedial Steps (as on August 2024):

- Immediately update the Entity Master with correct details on FIRMS.
- File the delayed FC-GPR on FIRMS portal and await rejection due to delay.
- Apply for compounding with RBI for the delay, as FC-GPR delay is compoundable offence.

Penalty for Non-Compliance

As per the Foreign Exchange Management Act (FEMA), 1999, failure to file Form FC-GPR within the prescribed time can attract penalties:

- Late Submission Fee (LSF) is applicable if the delay is condoned by the RBI.
- If the company fails to file entirely, it may be liable for:
  - A penalty up to thrice the sum involved in the contravention (where the amount is quantifiable), or
  - A penalty up to ₹ 2 lakh if the amount is not quantifiable.
  - An additional penalty of ₹ 5,000 per day for continuing contraventions.

Q2. State the persons eligible to claim the benefits under the Liberalised Remittance Scheme. What are the purposes for which such remittances can be made?

(Dec 2024 7 Marks)

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Ans. Liberalised Remittance Scheme

Under the Liberalised Remittance Scheme, all resident individuals, including minors, are allowed to freely remit up to USD 2,50,000 per financial year (April – March) for

- any permissible current or
- capital account transaction or
- a combination of both.

The Scheme was introduced on February 4, 2004, with a limit of USD 25,000. The LRS limit has been revised in stages consistent with prevailing macro and micro economic conditions. The Scheme is not available to corporates, partnership firms, HUF, Trusts etc.

Individuals can avail foreign exchange facility for the following purposes within the LRS limit of USD 2,50,000 on financial year basis:

i. Private visits to any country (except Nepal and Bhutan)

ii. Gift or donation Going abroad for employment

iii. Emigration

iv. Maintenance of close relatives abroad

v. Travel for business, or attending a conference or specialised training or for meeting expenses for meeting medical expenses, or check-up abroad, or for accompanying as attendant to a patient going abroad for medical treatment/ check-up

vi. Expenses in connection with medical treatment abroad

vii. Studies abroad

viii. Any other current account transaction which is not covered under the definition of current account in FEMA,1999

Q3. State the restrictions on dealing in foreign exchange and holding of foreign exchange or foreign securities, as per the provisions of the Foreign Exchange Management Act, 1999. (June 2024 7 Marks)

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Ans. (a) Restriction in dealing in foreign exchange, etc. (Section 3) under FEMA Section 3 prohibits the following transactions, namely:

(i) dealing in or transferring any foreign exchange or foreign securities by any person not being an authorized person.

(ii) making any payment to or for the credit of any person resident outside India in any manner.

(iii) receiving otherwise than through an authorized person, any payment by order or on behalf of any person resident outside India in any manner.

(iv) entering into any financial transaction in India as consideration for or in association with acquisition or creation or transfer of a right to acquire, any asset outside India by any person.

(b) Restriction in holding of foreign exchange (Section 4)

No person resident in India shall acquire, hold, own, possess or transfer any foreign exchange, foreign security or any immovable property situated outside India, other than those provided under the relevant Rules. Rules provide exemption as under.

(i) Property held outside India by a foreign citizen resident in India.

(ii) Property acquired by a person on or before 8th July, 1947 and held with the permission of Reserve Bank.

(iii) Property acquired by way of gift or inheritance from persons referred to in above.

(iv) Property purchased out of funds held in RFC account.

Q4. Discuss Permitted Investments by persons resident outside India. (Dec 2023 7 Marks)

Ans. Permitted Investments by persons resident outside India

Any investment made by a person resident outside India shall be subject to the entry routes, sectoral caps or the investment limits, may make investment as stated hereinafter For details, one has to see the relevant annexure, out of various annexures which relate to each kind of investment.

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(i) Subscribe/ purchase/ sale of capital instruments of an Indian company is permitted as per the directions laid down in Annex 1

(ii) Purchase/ sale of capital instruments of a listed Indian company on a recognised stock exchange in India by Foreign Portfolio Investors is permitted as per the directions laid down in Annex 2

(iii) Purchase/ sale of Capital Instruments of a listed Indian company on a recognised stock exchange in India by Non-Resident Indian (NRI) or Overseas Citizen of India (OCI) on repatriation basis is permitted as per the directions laid down in Annex 3

(iv) Purchase/ sale of Capital Instruments of an Indian company or Units or contribution to capital of a LLP or a firm or a proprietary concern by Non-Resident Indian (NRI) or Overseas Citizen of India (OCI) on a Non-Repatriation basis is permitted as per the directions laid down in Annex 4

(v) Purchase/ sale of securities other than capital instruments by a person resident outside India is permitted as per the directions laid down in Annex 5

(vi) Investment in a Limited Liability Partnership (LLP) is permitted as per the directions laid down in Annex 6

(vii) Investment by a Foreign Venture Capital Investor (FVCI) is permitted as per the directions laid down in Annex 7

(viii) Investment in an Investment Vehicle is permitted as per the directions laid down in Annex 8.

(ix) Issue/ transfer of eligible instruments to a foreign depository for the purpose of issuance of Depository receipts by eligible person(s) is permitted as per the directions laid down in Annex 9.

(x) Purchase/ sale of Indian Depository Receipts (IDRs) issued by Companies Resident outside India is permitted as per directions laid down in Annex 10.

Q5. Write short notes on:

(i) Prohibited sectors/persons for Foreign Direct Investment in India.

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(ii) Provisions of Parking of ECB proceeds until its utilization. (June 2023 8 Marks)

Ans. (i) FDI has been notified to be prohibited in the following sectors -

- Lottery Business including Govt/Private Lottery, online Lottery
- Gambling and betting including casinos
- Chit funds (except for investment made by NRIs and OCIs on a non-repatriation basis.)
- Nidhi Companies
- Trading in transferable development rights
- Real Estate business or Construction of Farm businesses

  Note - 'Real estate business' shall not include development of townships, construction of residential / commercial premises, roads or bridges and Real Estate Investment Trusts (REITs) registered and regulated under the SEBI (REITs) Regulations, 2014.
- Manufacturing of Cigars, Cheroots, cigarillos and cigarettes of tobacco
- Activities/ sectors not open to private sector investment viz., (i) Atomic energy and (ii) Railway operations (other than permitted activities).
- Any investment by a person who is a citizen of Bangladesh or Pakistan or is entity incorporated in Bangladesh or Pakistan requires prior Govt. Approvals.
- A person who is a citizen of Pakistan or an entity incorporated in Pakistan can, only with the prior Government approval, invest in sectors/activities other than defence, space, atomic energy and sectors/activities prohibited for foreign investment.

(ii) The provision of FEMA 1999 allows the domestic borrowers to park the funds under external Commercial Borrowings to be parked until they become ready to be utilized and are listed as below:

- **Parking of ECB proceeds abroad** - ECB proceeds meant only for foreign currency expenditure can be parked abroad pending utilization. Until their final utilization, these funds can be utilized in few specified liquid assets.

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- **Parking of ECB proceeds domestically** - ECB proceeds meant for INR expenditure should be repatriated immediately for credit to their rupee Accounts with Authorized Dealer category 1 banks in India. The domestic borrower can park the proceeds with a category 1 AD through creation of deposits for a period maximum upto 12 months.

Q6. Fast Technologies is an unlisted company having a share capital of INR 23 Crores are negotiating with Foreign investor for a 20% stake in the Company by issue of fresh shares at a price to be negotiated. There is no Foreign Investment cap as the Company is operating in Technology Sector. As CFO of the Company, please prepare a note for the Directors of the Company on:

(i) Whether the issue is possible?

(ii) What steps to be taken for Shares issue? (June 2023 6 Marks)

Ans. (i) Note for Directors - Our Company, Fast Technology, is an unlisted Company and SEBI regulations do not apply. However, the Company has to comply with FEMA, 1999 regulations in respect of issue of share to Foreign Investors. As per existing FDI regulations, No Govt. approval is required. Nor our Company requires relevant approvals from RBI. The Investment is within the limit. Once we receive the remittance in respect of Shares, we need to intimate RBI as per laid down procedure.

(ii) The Share certificates have to issued in dematerialized mode. There is no restriction on repatriation of dividend to the Foreign investor which will be subject to withholding taxes as per Indian tax laws.

The shares shall have same voting and other associated rights.

Q7. Mr. Daksh, an Indian National desires to obtain foreign exchange for the following purposes:

(i) Payment to be made for securing health insurance from a company abroad.

(ii) Payment of commission on exports under Rupee State Credit Route.

Advise whether he can get foreign exchange and if so, under what condition?

(Dec 2019 4 Marks)

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Ans. Any person may sell or draw foreign exchange to or from an authorized person if such sale or drawal is a current account transaction. However, the Central Government may in public interest and in consultation with the RBI, impose such reasonable restrictions for current account transactions as may be prescribed (Section 5). The Central Government has framed Foreign Exchange Management (Current Account Transactions) Rules, 2000.

The Rules stipulate some prohibitions and restrictions on drawal of foreign exchange for certain purposes. In the light of provisions of these rules, the answer to the given problem is as follows:

(i) Drawl of foreign exchange for securing health insurance from a company abroad does not fall under any of the Schedules I. II or III. Therefore, such a transaction is permitted without any restriction or condition.

(ii) Rule 3 read with Schedule I of Foreign Exchange Management (Current Account Transactions) Rules, 2000 prohibits payment of commission on exports under Rupees State Credit Route (except commission upto 10% of invoice value of exports of tea and tobacco). Therefore, payment of commission on exports under Rupee State Credit Route is prohibited unless such commission is paid for export of tea and tobacco, and the commission does not exceed 10% of invoice value of exports.

Q 8. Write short note on- Current account transaction (Dec 2018 4 Marks)

Ans. Current account transaction- Section 2(j)

Current account transaction means a transaction other than a capital account transaction and without prejudice to the generality of the foregoing such transaction includes :

(1) Payments due in connection with foreign trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business.

(2) Payments due as interest on loans and as net income from investments.

(3) Remittances for living expenses of parents, spouse and children residing abroad and

(4) Expenses in connection with foreign travel, education and medical care of parents, spouse and children.

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Q9. State the kind of approval required for the following transactions under the Foreign Exchange Management Act, 1999 :

(i) **L, a famous playback singer of India wants to perform a musical night in Paris for Indians residing there. Foreign exchange to the extent of USD 20,000 is required for this purpose.**

(ii) **M requires USD 5,000 to make payment related to 'call back services' of telephone.**

(June 2017 3 Marks)

Ans. (i) **Foreign exchange drawals for cultural tours require prior permission/approval of the Government of India** irrespective of amount of foreign exchange required, Therefore, in the given case L, the singer is required to seek permission of the Government of India.

(ii) Drawal of foreign exchange for payment related to 'call back services' of telephones is prohibited. Therefore 'M' cannot draw foreign exchange.

EXTRA PRACTICE QUESTIONS

Q10. Mr. Sane, an Indian National desires to obtain Foreign Exchange for the following purposes:

(i) Remittance of US Dollar 50,000 out of winnings on a lottery ticket.

(ii) US Dollar 100,000 for sending a cultural troupe on a tour of U.S.A.

Advise him whether he can get Foreign Exchange and if so, under what conditions?

Answer: Under provisions of section 5 of the Foreign Exchange Management Act, 1999 certain Rules have been made for drawal of Foreign Exchange for Current Account transactions.

As per these Rules, Foreign Exchange for some of the Current Account transactions is prohibited.

As regards some other Current Account transactions, Foreign Exchange can be drawn with prior permission of the Central Government while in case of some Current Account transactions, prior permission of Reserve Bank of India is required.

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(i) In respect of item No.(i), i.e., remittance out of lottery winnings, such remittance is prohibited and the same is included in First Schedule to the Foreign Exchange Management (Current Account Transactions) Rules, 2000. Hence, Mr. Sane can not withdraw Foreign Exchange for this purpose.

(ii) Foreign Exchange for meeting expenses of cultural tour can be withdrawn by any person after obtaining permission from Government of India, Ministry of Human Resources Development, (Department of Education and Culture) as prescribed in Second Schedule to the Foreign Exchange Management (Current Account Transactions) Rules, 2000. Hence, in respect of item (ii), Mr. Sane can withdraw the Foreign Exchange after obtaining such permission.

In all the cases, where remittance of Foreign Exchange is allowed, either by general or specific permission, the remitter has to obtain the Foreign Exchange from an Authorised Person as defined in Section 2(c) read with section 10 of the Foreign Exchange Management Act, 1999.

Q11.State which kind of approval is required for the following transactions under the Foreign Exchange Management Act, 1999:

(i) X, a Film Star, wants to perform along with associates in New York on the occasion of Diwali for Indians residing at New York. Foreign Exchange drawal to the extent of US dollars 20,000 is required for this purpose.

(ii) R wants to get his heart surgery done at United Kingdom. Up to what limit Foreign Exchange can be drawn by him and what are the approvals required?

Answer: Approval to the following transactions under FEMA, 1999:

i) Foreign Exchange drawals for cultural tours require prior permission/approval of the Ministry of Human Resources Development (Department of Education and Culture) irrespective of the amount of foreign exchange required. Therefore, in the given case X, the Film Star is required to seek permission of the said Ministry of the Government of India.

ii) Individuals can avail of foreign exchange facility within the limit of USD 2,50,000 only. Any additional remittance in excess of the said limit for the expenses requires an approval from RBI. However in connection with medical treatment abroad, no approval of the Reserve Bank of India is required. Therefore, R can draw foreign exchange up to amount estimated by a medical institute offering treatment.

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Q12. Mr. Rohan, an Indian Resident individual desires to obtain Foreign Exchange for the following purposes:

a. **US$ 120,000 for studies abroad on the basis of estimates given by the foreign university.**
b. **Gift Remittance amounting US$ 10,000.**

Advise him whether he can get Foreign Exchange and if so, under what condition(s)?

Answer:

a. Foreign exchange may be released for studies abroad up to a limit of US $ 250,000 for the studies abroad without any permission from the RBI. Above this limit, RBI's prior approval is required. However in connection with studies abroad, no approval of the Reserve Bank of India is required. Further proviso to Para I of Schedule III states that individual may be allowed remittances exceeding USD 250,000 based on the estimate received from the institution abroad. In this case since US $ 120,000 is the drawal of foreign exchange, so permission of the RBI is not required.

b. Under the provisions of Section 5 of FEMA 1999, certain Rules have been made for drawal of foreign exchange for current account transactions. Gift remittance is a current account transaction. Gift remittance exceeding US $ 250,000 can be made after obtaining prior approval of the RBI. In the present case, since the amount to be gifted by an individual, Mr. Rohan is USD 10,000, there is no need for any permission from the RBI.

Q13. (i) Mr. P has won a big lottery and wants to remit US Dollar 20,000 out of his winnings to his son who is in USA. Advise whether such remittance is possible under the Foreign Exchange Management Act, 1999.

(ii) Mr. Z is unwell and would like to have a kidney transplant done in USA. He would like to know the formalities required and the amount that can be drawn as foreign exchange for the medical treatment abroad.

Answer: According to section 5 of the FEMA, 1999, any person may sell or draw foreign exchange to or from an authorized person if such a sale or drawal is a current account transaction.

CS Disha Lohana

Provided that Central Government may, in public interest and in consultation with the reserve bank, impose such reasonable restrictions for current account transactions as may be prescribed.

As per the rules, drawal of foreign exchange for current account transactions are categorized under three headings-

1. Transactions for which drawal of foreign exchange is prohibited,

2. Transactions which need prior approval of appropriate government of India for drawal of foreign exchange, and

3. Transactions which require RBI's prior approval for drawl of foreign exchange.

(i) Mr. P wanted to remit US Dollar 20,000 out of his lottery winnings to his son residing in USA. Such remittance is prohibited and the same is included in the Foreign Exchange Management (Current Account Transactions) Rules, 2000. Hence Mr. P cannot withdraw foreign exchange for this purpose.

(ii) "Remittance of foreign exchange for medical treatment abroad" requires prior permission or approval of RBI where the individual requires withdrawal of foreign exchange exceeding USD 250,000. The Schedule also prescribes that for the purpose of expenses in connection with medical treatment, the individual may avail of exchange facility for an amount in excess of the limit prescribed under the Liberalized Remittance Scheme, if so required by a medical institute offering treatment. Therefore, Mr. Z can draw foreign exchange up to the USD 250,000 and no prior permission/ approval of RBI will be required. For amount exceeding the above limit, authorised dealers may release foreign exchange based on the estimate from the doctor in India or hospital or doctor abroad.

Q14. Mr. Bandha, a software Engineer, Indian Origin took employment in USA. He is a resident of USA for a long time. He desires

(i) to acquire a farmhouse in Munar (Kerala).

(ii) to make investment in KLJ (Nidhi) Ltd., registered as Nidhi Company.

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(iii) to make investment in Rose Real Estate Ltd., an Indian Company formed for the development of township.

Whether there are any restrictions in respect of the transactions desired by Mr. Bandha.

Answer: According to Regulation 4 of the FEM (Permissible Capital Account Transaction) Regulations, 2015, No person resident outside India shall make investment in India, in any form, in any company or partnership firm or proprietary concern or any entity, whether incorporated or not, which is engaged or proposes to engage:

(a) in the business of chit fund.

(b) as Nidhi Company.

(c) in agricultural or plantation activities.

(d) in real estate business, or construction of farmhouses.

(e) in trading in Transferable Development Rights (TDRs).

Hence, in view of above,

(i) Mr. Bandha, cannot acquire a farmhouse in Munnar (Kerala).

(ii) Mr. Bandha cannot make investment in KLJ (Nidhi) Ltd.

(iii) Mr. Bandha can make investment in Rose Real Estate Ltd., an Indian Company formed for the development of township because "real estate business" shall not include development of townships.

Q15. Lifesays Limited, a billion-dollar, Indian company wishes to create a chair in a reputed university in the US. This chair is for the department of computer science. The company wishes to obtain your advice in regard to the following with reference to the FEMA, 1999.

(i) Is such "chair" creation permissible?

(ii) What is the maximum amount that can be donated for such chair?

(iii) Any formalities to be complied with?

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Answer: The following remittances exceeding the limits mentioned below shall require prior approval of the RBI-

Donations exceeding Lower of:

(a) 1% of their foreign exchange earnings during the previous 3 financial years or

(b) USD 5,000,000 for-

- ✓ creation of Chairs (Paying faculty's salary) in reputed educational institutes.
- ✓ contribution to funds (not being an investment fund) promoted by educational institutes; and
- ✓ contribution to a technical institution or body or association in the field of activity of the donor Company.

(i) In the first case, "chair" creation for the department of computer science in reputed university in the U.S. is permissible.

(ii) Maximum amount that can be donated for such chair will be 1% of their foreign exchange earnings during the previous 3 financial years or USD 5,000,000, whichever is less without prior approval of the RBI.

(iii) In case where donations exceed 1% of their foreign exchange earnings during the previous 3 financial year or USD 5,000,000, it shall require prior approval of RBI.

Q16. Printex Computer is a Singapore based company having several business units all over the world. It has a unit for manufacturing computer printers with its headquarters in Pune. It has a branch in Dubai which is controlled by the headquarters in Pune. What would be the residential status under FEMA, 1999 of printer units in Pune and that of Dubai branch?

Answer: Printex Computer being a Singapore based company would be person resident outside India [(Section 2(w)].

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Section 2 (u) defines 'person' under clause (viii) thereof, as person would include any agency, office or branch owned or controlled by such person. The term such person appears to refer to a person who is included in clause (i) to (vi).

Accordingly, Printex unit in Pune, being a branch of a company would be a 'person'.

- Section 2(v) defines a person resident in India. Under clause (iii) thereof person resident in India would include an office, branch or agency in India owned or controlled by a person resident outside India. Printex unit in Pune is owned or controlled by a person resident outside India, and hence it, would be a 'person resident in India.'

- However, Dubai Branch though not owned is controlled by the Printer unit in Pune which is a person resident in India. Hence, the Dubai Branch is a person resident in India.

Q17. Analyse the aspects, which remittances are prohibited under Liberalized Remittance Scheme (LRS)? Discuss what facilities are available to entities other than individuals?

Ans. Prohibited items under the Liberalized Remittance Scheme (LRS):

i. Remittance for any purpose specifically prohibited under Schedule-I (like purchase of lottery tickets/sweep stakes, proscribed magazines, etc.) or any item restricted under Schedule II of Foreign Exchange Management (Current Account Transactions) Rules, 2000.

ii. Remittance from India for margins or margin calls to overseas exchanges / overseas counterparty.

iii. Remittances for purchase of FCCBs issued by Indian companies in the overseas secondary market.

iv. Remittance for trading in foreign exchange abroad.

v. Capital account remittances, directly or indirectly, to countries identified by the Financial Action Task Force (FATF) as "non- cooperative countries and territories", from time to time.

vi. Remittances directly or indirectly to those individuals and entities identified as posing significant risk of committing acts of terrorism as advised separately by the Reserve Bank to the banks.

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The following facilities are available to persons other than individuals:

- Donations up-to one per cent of their foreign exchange earnings during the previous three financial years or USD 5,000,000, whichever is less, for- (a) creation of Chairs in reputed educational institutes, (b) contribution to funds (not being an investment fund) promoted by educational institutes; and (c) contribution to a technical institution or body or association in the field of activity of the donor Company.

- Commission, per transaction, to agents abroad for sale of residential flats or commercial plots in India up to USD 25,000 or five percent of the inward remittance whichever is less.

- Remittances up to USD 10,000,000 per project for any consultancy services in respect of infrastructure project and USD 1,000,000 per project, for other consultancy services procured from outside India.

- Remittances up to five per cent of investment brought into India or USD 100,000 whichever is less, by an entity in India by way of reimbursement of pre-incorporation expenses.

Anything in excess of above limits requires prior approval of the Reserve Bank of India.

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